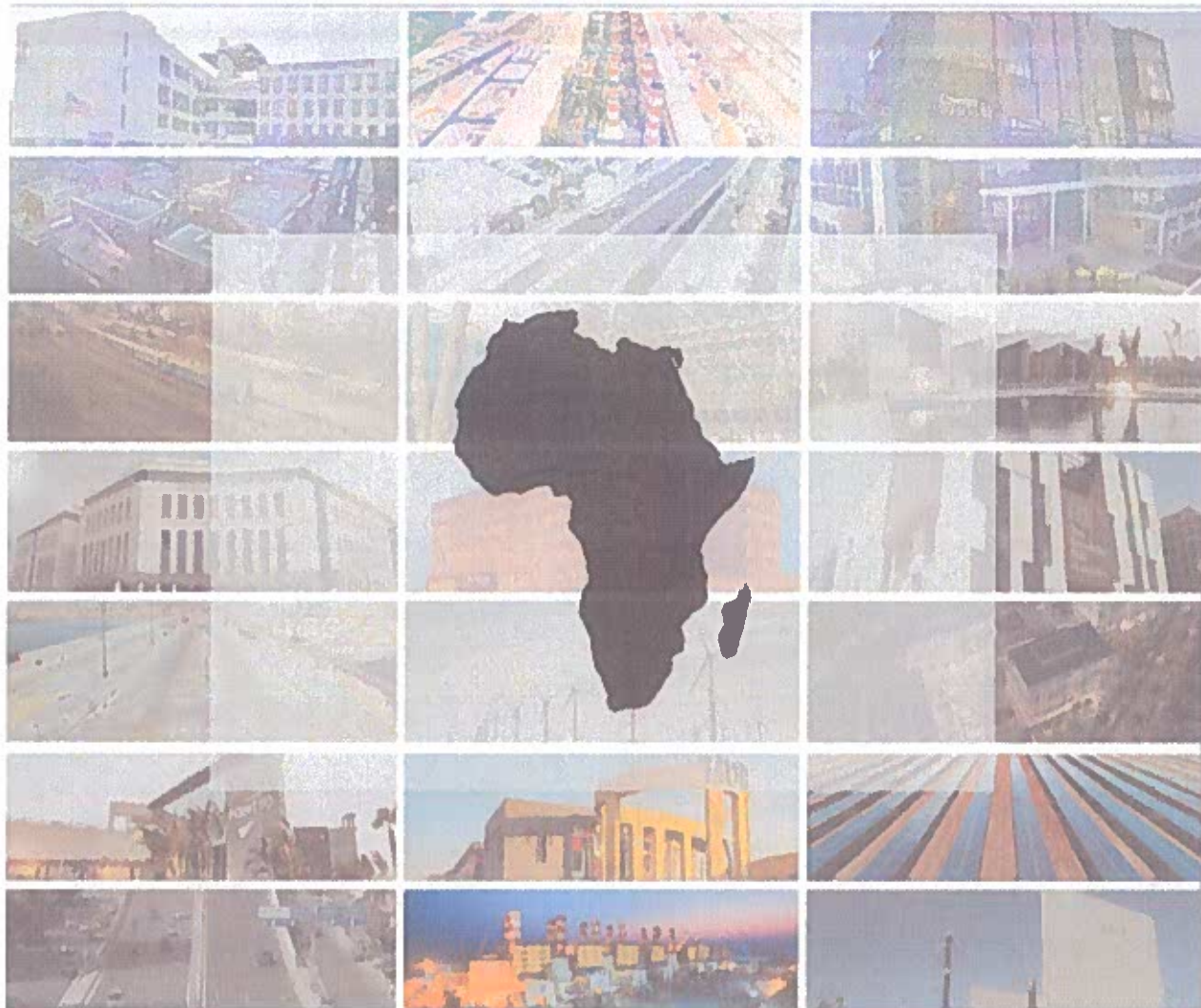




ROWAD
MODERN ENGINEERING

Purchasing Process
P-PU-01

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1. OBJECTIVES

The objective is to describe the purchasing procedure of how to deal with vendors through bidding, achieving project goals such as time, cost, and quality, and to maintain company's legal, financial, and quality policies.

2. STAKEHOLDER

- Purchasing
- MEP
- Operation
- Finance
- Contracts
- Projects Control
- Tendering
- Warehouse
- Quality Control
- Commercial

3. LIABLE STAKEHOLDER

- Purchasing
- MEP
- PsM/PM
- Projects Control
- Warehouse
- Quality Control
- Contracts

4. TERMS AND DEFINITION

- **CS**: Comparison Sheet
- **PR**: Purchasing Request
- **PO**: Purchasing Order
- **H.O.**: Head Office
- **RFQ**: Request for Quotation
- **TO**: Technical Office
- **QC**: Quality Control

	Purchasing Process		
	Effective Date: December, 2023	Rev. No.: 03	Doc. No.: P-PU-01

- **PM:** Project Manager
- **PsM:** Projects Manager
- **HoD:** Head of Department
- **BOQ:** Bill of Quantity
- **MRV:** Material Receiving Voucher
- **Engineering Materials:** Direct items from BOQ (Steel – cement - blocks – wood, etc.)
- **VMO:** Vendor Management Office (Purchasing/MEP/Procurement)
- **STO:** Site Technical Office

5. RELATED DOCUMENTED INFORMATION

- Work Package Budget, F-P-PC-01-03
- Material Transmittals, F-P-PU-01-01
- Transmittal Log, F-P-PU-01-02
- Payment Request, F-P-PU-01-03
- Unscheduled Payment, F-P-PU-01-04
- Consumable Comparison Sheet, F-P-PU-01-05
- Payment Plan, F-P-PU-01-06
- Purchasing Approval Authority Matrix, F-P-PU-01-07
- Vendor Price List, F-P-PU-01-08
- Material Submittal, F-PQP-01-02
- Scope of Work (Purchasing), F-P-TN-02-02
- Scope of Work (MEP), F-P-TN-02-03
- Project Sourcing Strategy, F-P-TN-02-05
- Sourcing plan, F-P-TN-02-07
- Supply Engineering Material - Comparison Sheet (CS), F-P-VMO-01-02
- Forecast & Supply Schedule (Primavera)
- Postponed Payment Request, F-P-VMO-02-07
- Tendering Lessons Learned, F-P-VMO-02-08

6.1 PROCESS INPUT

- In Direct Award Projects, available documents shall be received from Operation department.
- In Competitive bidding projects, documents shall be received from Tender department, including the following:

	Purchasing Process		
	Effective Date: December, 2023	Rev. No.: 03	Doc. No.: P-PU-01

- Suppliers' offers.
- Approved or nominated suppliers, and manufacturers.
- Project priced BOQ, budget and breakdown.
- Approved List of Engineering materials for purchasing as per project approvals.
- Tender sourcing strategy
- Approved Variations with client (if any).

6.2 Process Operations

Sr.	Process Cycle Description	Responsibility	Form
1	Commercial shall announce the new project with its relevant ERP code. Tendering/Operation shall arrange the handover meeting. Refer to Project Launching Process (P-TN-02) & Direct Award Process (P-OP-03)	Commercial Tendering/Operation	
2	Contracts shall send contract summary to Purchasing/ MEP. Refer Project Launching Process (P-TN-02)	Contracts	
3	Purchasing/MEP team shall discuss all information about the project and issue "Purchasing/MEP Scope of Work", after reviewing technically all related documents and discuss the items with the Tendering, PM, and Projects Control according to the project time plan, BOQ, specs and budget. Refer Project Launching Process (P-TN-02)	Purchasing/MEP	Purchasing/MEP Scope of Work F-P-TN-02-02/03
4	Purchasing/MEP shall submit the final Purchasing /MEP scope of work including duration to PM/PsM to finalize the project sourcing strategy, and to Projects Control to finalize project baseline & sourcing plan. Purchasing/MEP, Projects Control and PsM to be informed in case PM updates project sourcing strategy throughout the project.	Purchasing/MEP Projects Control PM	Purchasing/MEP Scope of Work F-P-TN-02-02 F-P-TN-02-03 Project Sourcing Strategy F-P-TN-02-05 Sourcing plan F-P-TN-02-07
5	Purchasing/MEP admin shall upload the related documents to each project on the e-filing system.	Purchasing/MEP Admin	

Sr.	Process Cycle Description	Responsibility	Form
6	<u>Material Approval Cycle</u> Purchasing/MEP engineers shall submit all required engineering material transmittals to STO according to the sourcing plan, project sourcing strategy, specifications, and budget requirements to obtain consultant's approval through material submittals. STO shall inform HO Purchasing/MEP with the status of the submittals and to update the Transmittal Log accordingly. For rejected submittals, new type of material, vendor and/or missing data, or others to be re-submitted by HO Purchasing/MEP.	Purchasing/ MEP STO	Material Transmittals F-P-PU-01-01 Material Submittals F-PQP-01-02 Transmittal Log F-P-PU-01-02
7	Forecasted quantities and supply schedule shall be sent by Site Projects Control to HO Purchasing to get best deals and confirm the project supplies plan and the approved sourcing plan.	Site Projects Control	Forecast & Supply Schedule (Primavera)
8	<u>Purchasing Requests (PR)</u> For approved material submittal, (PR) for material shall be issued by project requester through ORACLE system. Warehouse shall check the slow-moving and on-hand material through ORACLE system to finalize PR approval then received by purchasing/MEP to proceed in PO issuance for the requested quantity.	Requester Purchasing/MEP	
9	<u>CS and PO for Engineering, MEP & Consumable Materials:</u> Purchasing/MEP officer will prepare a comparison sheet after receiving quotations or updated Price list, including minimum of 3 suppliers. Refer to Purchasing Approval Authority Matrix.	Purchasing/MEP	Supply Engineering Material - Comparison Sheet (CS) F-P-VMO-01-02 Purchasing Approval Authority Matrix F-P-PU-01-07

 ROWAD MODERN ENGINEERING	Purchasing Process		
	Effective Date: December, 2023	Rev. No.: 03	Doc. No.: P-PU-01

Sr.	Process Cycle Description	Responsibility	Form
10	After CS approval, purchaser submits Purchasing Order (PO) through ORACLE for approval cycle as per Purchasing Approval Authority Matrix.	Purchasing/MEP	
11	After PO Oracle approval, Purchaser prints a hard copy for obtaining signatures from Purchasing/MEP manager and send it to the supplier within 1 day for action.	Purchasing/MEP Manager	
12	"Tendering Lessons Learned" form shall be used during comparison sheet preparation for tolerance 10% more (profit) or less (loss) comparing with budget, and sent to Tendering department for information and future consideration.	Purchasing/MEP	Tendering Lessons Learned F-P-VMO-02-08
13	<u>Purchasing Process Time Frame</u> The duration of purchasing process is 7 working days from receiving the PR to issue RFQ, CS, and PO with approvals excluding long lead material. Delivery time of purchased items to the site may vary according to item/supplier's delivery conditions.	Purchasing/MEP	
14	Purchasing/MEP shall send to Finance, payment request to transfer the amount of PO or release a cheque.	Purchasing/MEP	Payment Request F-P-PU-01-03
15	Purchasing/MEP current credit accounts shall be handled by H.O. department with COO, and Purchasing/MEP dept shall prepare suppliers advanced payment plan and to be handled by PsM according to his priorities.	HO Purchasing/MEP PsM	Payment Plan F-P-PU-01-06
16	After material delivery, Purchasing shall notify site warehouse with the delayed inspection for the delivered items. Refer to Material Control process (P-FN-01)	Purchasing/MEP	
17	Purchasing/MEP in coordination with Projects Control shall update PR, PO & delivery dates in Sourcing Plan and update work budget package (if any) to ensure final	Purchasing/MEP Projects Control	Sourcing Plan F-P-TN-02-07 Work Package Budget F-P-PC-01-03

	Purchasing Process		
	Effective Date: December, 2023	Rev. No.: 03	Doc. No.: P-PU-01

Sr.	Process Cycle Description	Responsibility	Form
	material delivery/execution start dates on site on a weekly basis.		
18	VMO in coordination with PsM shall issue Postponed Payment Request according to the projects need, then send it to Finance to clarify the overall Postponed status within one working day followed by CFO and COO approval.	VMO PsM	Postponed Payment Request F-P-VMO-02-07

6.3 PROCESS OUTPUT

- Project Sourcing Strategy
- Approved Comparison Sheet
- Purchasing Orders
- Price List

7. PROCESS RISK ASSESMENT

Included in the risk register form No. F-P-QD-05-01 “Risk identification and assessment” maintained by the HoD, along with the action plan to address risks and opportunities”.

8. PROCESS CONTROL

- Project Sourcing Strategy
- Sourcing Plan update

9. PERFORMANCE MEASURES

The Purchasing/MEP Manager shall measure the following indicators:

- Actual purchasing and delivery date of materials versus planned/request date.
- Analysis of rejected material.
- Percentage of cost saving from approved budget if applicable.
- Performance, quality, and financial cover of suppliers and/or manufacturers in Purchasing/MEP department.

 ROWAD MODERN ENGINEERING	Purchasing Process		
	Effective Date: December, 2023	Rev. No.: 03	Doc. No.: P-PU-01

10. DOCUMENT CHANGE HISTORY

No.	Revision Level	Description of Changes	Effective Date
1	00	New Process	December, 2016
2	01	All points	October, 2021
3	02	Decentralization Points (20-32)	October, 2022
4	03	Removed Decentralization points & added points 15 & 18	December, 2023

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